

CoreWeave (CRWV)

## Back on Track with Strength Across Key Metrics – Maintain OW

Key Points: 1) 2Q26 revenue, adjusted EBITDA beat; 2) Active power ramp above expectations, continued growth in contract wins/revenue backlog; 3) In compute constrained market, positive commentary around pricing/margin outlook; 4) Raising estimates and financing requirements.

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### Investment Summary

After several quarters of investors being disappointed with CRWV's results/outlook, the company reported 2Q revenues near the high-end of guidance, and a beat on adjusted operating income and adjusted EBITDA, Capex was above expectations/guidance, reflecting a much higher than expected increase in active power by 500MW to 1.5GW. There were also several other positive highlights from the quarter including: 1) while not expected to benefit performance until 2027, management indicated contribution margins on new contracts signed in 2Q were 5-10% higher than recent quarters; 2) on older generation GPUs coming off contract, GPUs are being recontracted at similar or higher rates than a year ago; 3) New contract momentum remains solid, with revenue backlog increasing by ~\$5bn during the quarter to, ~\$104bn, but early in 3Q CRWV added \$25bn of net new customer commitments; 4) while not yet a material revenue contributor, the company has made progress diversifying its service offerings beyond compute, including its managed inference platform.

While CRWV moderately increased its 2026 revenue, operating income, and year-end ARR guidance (and also increased its capex guidance), given the higher-than-expected growth in active power, we might have thought updated guidance might be higher. This could be due to similar timing lags between bringing on capacity and revenue recognition (deferring revenues and margin gains), as well as potentially the company providing more conservative guidance given previous misses. In any event, given recent growth in active/contracted power, strengthening backlog, and improved pricing/margins on more recent contracts, we think CRWV should be well positioned to meet or exceed its ARR and other targets in 2027.

We adjusted our model to reflect higher active power, revenue, and capex assumptions, increasing our annual active power ramp estimate by ~300MW annually, now estimating ~7.0GW of active power at year-end 2030 from 5.7GW previously and estimating \$99.7bn of funding needs during 2027-30 (funding ~\$80bn of FCF usage and ~\$20bn of debt amortization and maturities) versus \$76.0bn previously, though our 2030 net leverage estimate of 2.5x is

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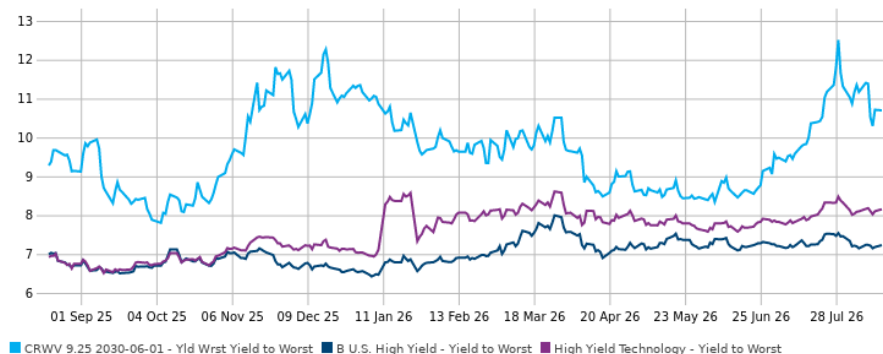
effectively unchanged. Given concerns/indigestion around AI supply (including DDTL loans), financing this growth has become more expensive. While the company's senior notes have rallied recently and are well off the lows – mostly yielding the low to high 11% range – we would not expect CRVV to access the HY market in the near to intermediate term, and we think it will need to look to other sources to fund the ~20% of total funding requirements outside secured GPU-backed DDTL financings. This could include convertible notes or additional strategic equity investments.

Post-2Q results, the senior notes initially rallied ~3 points but have since eased and while well off the lows, are up ~1- 1/2 points, mostly yielding in the low to high 11% range. Recognizing increased competition for AI Compute in the sector (eg, including SPCX, hyperscaler self-builds) and while its financing needs and costs have increased, we maintain our favorable credit view on CRVV. This reflects several factors including: 1) the outlook for continued strong growth in AI infrastructure demand in a market that remains capacity constrained; 2) the company's strong contracting volumes and increased revenue backlog, which should support material revenue growth with higher pricing and likely higher margins; 3) the company's progress diversifying its customer base as demand shifts to inference and providing additional value-added services; and 4) the attractive returns on its compute contracts and low steady state leverage. **Accordingly, we maintain our OW rating on the 2030-2031 senior notes and add coverage of the 9 5/8% 2032s at OW.**

FIGURE 1. Debt Table

| Description                       | Amt O/S (\$mn) | Moody's / S&P | Price  | YTW             | OAS             | Next Call Date | Next Call Price |
|-----------------------------------|----------------|---------------|--------|-----------------|-----------------|----------------|-----------------|
| <b>US HY Index</b>                |                |               |        | <b>7.25</b>     | <b>289</b>      |                |                 |
| <b>US HY Technology Index</b>     |                |               |        | <b>8.15</b>     | <b>382</b>      |                |                 |
| <b>US B Index</b>                 |                |               |        | <b>7.23</b>     | <b>283</b>      |                |                 |
| <b>CoreWeave</b>                  |                | Ba3/B+        |        |                 |                 |                |                 |
| S+225 DDTL-4.0 due 3/2032 (1)     | 8,500          | A3/A-         | 99.88  | 6.32            | 227             |                |                 |
| S+450 DDTL-5.0 due 5/2032 (1)     | 3,100          | Ba2/BB+       | 101.00 | 8.30            | 427             |                |                 |
| S+550 DDTL-5.5 due 9/2031 (1)     | 2,600          | Ba2/BB+       | 100.50 | 9.40            | 538             |                |                 |
| 9 1/4% Sr Notes due 6/1/2030      | 2,000          | B1/B          | 95.63  | 10.68           | 635             | 6/1/2027       | 104.63          |
| 9.0% Sr Notes due 2/1/2031        | 1,750          | B1/B          | 92.38  | 11.22           | 686             | 2/1/2028       | 104.50          |
| 9 3/4% Sr Notes due 10/1/2031     | 2,750          | B1/B          | 92.50  | 11.73           | 735             | 10/1/2028      | 104.88          |
| 9 5/8% Sr Notes due 7/15/2032     | 1,250          | B1/B          | 91.13  | 11.74           | 729             | 7/15/2029      | 104.81          |
| 8 1/2% EUR Sr Notes due 7/15/2032 | €2,000         | B1/B          | €92.13 | 10.30           | 719             | 7/15/2029      | 104.25          |
| <b>CDS</b>                        |                |               |        | <b>Bid (bp)</b> | <b>Ask (bp)</b> |                |                 |
| 5Y CDS                            |                |               |        | 657             | 722             |                |                 |

Notes: 1) We show total commitment, not the current drawn amount; ratings are Moody's/Fitch  
Source: Bloomberg, Barclays Research

**FIGURE 2. CRWV 9 1/4% Unsecured 2030s versus US B and HY Technology Indices — YTW**

[Open in Barclays Live Chart](#)

Source: **Credit** - Barclays Trading, S&P Global Market Intelligence; **Bloomberg Indices** - Bloomberg

**FIGURE 3. CRWV 5y CDS — Spread versus 9 1/4% Unsecured 2030s — OAS**

[Open in Barclays Live Chart](#)

Source: **Credit** - Barclays Trading, S&P Global Market Intelligence

## 2Q26 Key Takeaways

### 2Q26 Performance Review

CoreWeave's 2Q26 results were stronger than expected, with a much higher-than-expected ramp in active power, revenue near the high end of guidance, and adjusted EBITDA above our expectations. Active power ramped much faster than expected at 1.5GW at quarter end, up ~475MW q/q versus our +215MW estimate, reflecting the company's efforts to work with its data center suppliers to accelerate its delivery timelines. CoreWeave also benefited from the cushion it has built into its delivery schedules with customers (particularly following the delay of the CORZ Denton facility in 3Q25, which caused the company to reduce guidance), giving the company flexibility to deliver capacity early where available. Since ~300MW of capacity was brought online in June, the beat did not materially flow through to revenues during the quarter. However, revenues were near the high end of guidance at \$2.58bn, up \$1.36bn y/y (+112%) versus \$2.45-2.60bn guidance and above our \$2.52bn estimate, which reflected some delivery-timing benefit. It also reflected strong growth in ancillary services (storage, CPU, networking, and software), which exceeded \$400mn ARR at quarter-end, and growth in its managed inference platform (discussed further below), which grew to \$100mn-plus ARR during the quarter, having been established in late 1Q26. The 10Q disclosed that the company's three largest customers comprised 36%, 26%, and 10% of 2Q26 revenues, respectively (we believe the two largest customers are still Microsoft and OpenAI, which comprised the large majority of the company's early contract wins).

Excluding D&A and SBC, non-GAAP expenses (including COGS and opex) were \$1.07bn during 2Q, below our \$1.12bn estimate, reflecting slower-than-expected non-GAAP opex growth, up 24.9% y/y versus our +37.4% y/y estimate. Reflecting operating leverage benefits on strong revenue growth, adjusted EBITDA was \$1.51bn, well above our \$1.42bn estimate, up \$757mn y/y (+101%), at a 58.6% margin, down 340bp y/y and up 300bp q/q. Adjusted operating income of \$128mn was well above our \$55mn estimate and guidance of \$30-90mn, at a 5.0% margin, versus 16.5% in 2Q25 and 1.0% in 1Q26 (consistent with the company's expectations for quarterly margin expansion through 2026 following a trough in 1Q).

Company-defined capex of \$9.35bn was above the high-end of \$7.0-9.0bn guidance and our \$8.82bn estimate, reflecting the pull-forward in active power deployment. Free cash flow was a \$5.74bn usage during the quarter (\$14.55bn usage LTM) below our \$8.11bn usage estimate and versus a \$2.02bn usage in 2Q25 and a \$4.71bn usage in 1Q26 with cash capex of \$6.42bn below our estimate of \$8.82bn estimate, reflecting OEM financing arrangements.

Net debt increased \$6.82bn q/q, to \$28.65bn, as total debt increased \$10.21bn q/q, to \$35.07bn, and cash (including \$1.38bn restricted cash) increased \$3.58bn q/q, to \$6.90bn. The company issued \$10.25bn of unsecured debt during the quarter, including \$6.25bn regular-way unsecured notes (\$2.75bn 9 3/4% 2031s, \$1.25bn 9 5/8% 2032s, and \$1.75bn of USD-equivalent 8 1/2% EUR notes due 2032; discussed further [below](#)), as well as \$4.0bn 1 3/4% convertible notes due 2032. The company also drew \$3.19bn under its DDTL facilities and repaid \$1.5bn outstanding under its \$2.0bn revolver (unborrowed at quarter-end). The company had \$10.01bn available under its revolver and DDTL facilities at quarter-end, with total liquidity of \$16.92bn.

**FIGURE 4. 2Q26 Results Versus Guidance, Our Prior Estimates, and Consensus**

| CRWV 2Q26 Results (\$mn)  | Results | Guidance      | Our Est | Street Est |
|---------------------------|---------|---------------|---------|------------|
| Active Power (MW)         | ~1,500  |               | 1,265   | 1,252      |
| Revenue                   | 2,575   | 2,450 - 2,600 | 2,519   | 2,563      |
| Adjusted EBITDA           | 1,510   |               | 1,415   | 1,429      |
| % margin                  | 58.6%   |               | 56.2%   | 55.8%      |
| Adjusted Operating Income | 128     | 30 - 90       | 55      | 67         |
| % margin                  | 5.0%    | 1.2 - 3.5%    | 2.2%    | 2.6%       |
| Capex (Company-Defined)   | 9,353   | 7,000 - 9,000 | 8,815   | 8,065      |

Source: Company filings, Bloomberg, Barclays Research

### Increases Full-Year 2026 Guidance

Mainly reflecting higher active power guidance (now ~1.85GW at year-end versus "more than 1.7GW" previously), CoreWeave raised guidance across revenue, adjusted operating income, and capex. The company raised full-year revenue guidance to \$12.4-13.2bn from \$12.0-13.0bn previously, and increased year-end ARR guidance to \$18.5-19.5bn from \$18.0-19.0bn (which should be somewhat conservative given the magnitude of the 2Q26 active power beat). Full-year capex guidance was raised to \$35.0-39.0bn from \$30.0-35.0bn previously to reflect higher active power estimates. The company raised adjusted operating income guidance to \$960-1,150mn from \$900-1,100mn, still reflecting margin headwinds from the timing of expenses ramping before revenue. Against an adjusted operating margin of 5.0% in 2Q, management expects 3Q26 adjusted operating margin to increase to 5.8-7.2%, reflecting the timing of power and other data center expenses ramping before revenue (reflecting the active power pull-forward), after which the company expects adjusted operating margin in the low teens in 4Q.

### 3Q26 Guidance Summary

- **Revenue:** \$3.45-3.60bn versus our \$3.40bn prior estimate and \$3.45bn prior consensus
- **Adjusted Operating Income:** \$200-260mn versus our \$316mn prior estimate and \$253mn prior consensus
- **Capex:** \$11.5-13.5bn versus our \$8.82bn prior estimate and \$9.61bn prior consensus

### 2026 Guidance Summary

- **Active power at year-end:** 1.85GW versus prior guidance of "more than 1.7GW"
- **Revenue:** \$12.4-13.2bn versus \$12.0-13.0bn prior guidance and our \$12.3bn prior estimate
- **Year-end ARR:** \$18.5-19.5bn versus \$18.0-19.0bn previously
- **Adjusted Operating Income:** \$960-1,150mn versus \$900-1,100mn prior guidance and our \$1.00bn prior estimate
- **Capex:** \$35.0-39.0bn versus toward the high end of prior guidance of \$30.0-35.0bn and our prior \$34.4bn estimate

### New Contract Wins with Growing Set of Enterprise Customers; \$25bn After 2Q Quarter-End

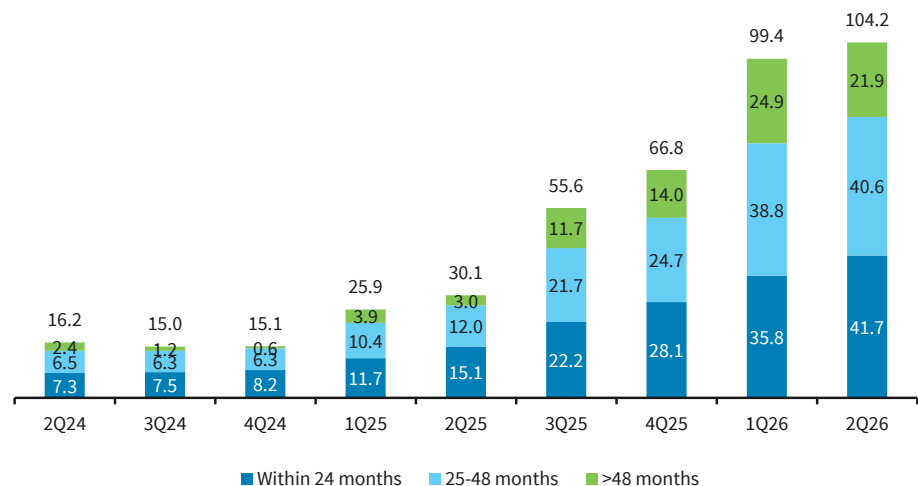
As-reported backlog increased \$4.8bn q/q to \$104.2bn, a deceleration from the exceptional \$32.6bn backlog growth in 1Q, though the company disclosed that in the early weeks of 3Q26 it signed an incremental \$25bn contracts, which, if added to the 2Q26 backlog, would have increased the backlog by \$29.8bn q/q, to \$129.2bn. The company stated that more

than 50% of the \$104bn as-reported 2Q26 backlog was tied to contracts where delivery has already commenced, with that proportion expected to exceed two-thirds by year-end.

The contracts added in 2Q26 included a mix of new customers and expanded relationships, highlighting new wins from Caterpillar, Isomorphic Labs, Grammarly, Bentley Systems, and Leidos, as well as expanded contracts with Cognition, Databricks, Hudson River Trading, Periodic Labs, Rescale, Runway ML, IBM, and Nissan. Management indicated that this long list of new logos and expanded contracts represents a meaningful shift towards enterprise AI infrastructure demand (ie, no longer solely concentrated among frontier AI labs and hyperscalers), with financial services emerging as a leading category. While off a low base, meaningful growth is also coming from industrial and physical AI (eg, Caterpillar and Nissan), AI-native developers, enterprise software companies with AI product integration, and life sciences customers. The company also stated that it signed its first "CoreWeave Omni" contract during the quarter, (CoreWeave's "bring your own chips" service, implementing its physical deployment/management system and software stack using customer-owned chips), though it did not specify the size of the contract.

Regarding the \$25bn of contracts signed subsequent to quarter-end, the company did not specify which customers are represented in the increase, though indicated it included a mix of longer-term contracts.

**FIGURE 5. Revenue Backlog by Temporal Cohort (\$bn)**



Source: Company filings, Barclays Research

### Pricing Environment Exceptionally Strong, Though Benefits Will Take Time; Could Provide Upside to 2027 Exit ARR Target

Along with the other major participants in the compute market (discussed further [below](#)), CoreWeave also noted a very strong compute pricing environment in 2Q26 and into 3Q26, which remains highly supply constrained. It stated that Blackwell and Vera Rubin SKUs were "setting new highs" on pricing and that older generation chips remain at or above prior-year pricing, with management calling out an A100 contract (an Ampere chip, part of NVIDIA's 2020 GPU generation) that was signed at an "attractive price" through 2029 (the GPUs will be ~9 years old when that contract expires). The company stated that driven by the much stronger pricing, contracts signed in 2Q and into 3Q were at contribution margins 5-10 points above those signed in recent quarters, and that in July, it increased pricing across SKUs coming up for renewal (a fairly small % of contracts) by 25%.

CRWV should benefit materially from the current strong pricing environment over time, though most of the benefits from higher pricing/margins will not be realized until the contracts the company is signing now ramp to revenues in 2027 (near-term capacity is "effectively sold out"). Accordingly, there may be upside to the company's 2027 exit ARR guidance of >\$30bn, which was established in 1Q26 and not updated in 2Q.

### **Company Continues to Secure Large Amounts of Contracted Power**

CoreWeave's contracted power reached 3.7GW in 2Q26, up 200MW q/q, though subsequent to quarter-end the company brought on an additional 500MW, bringing total contracted power to 4.2GW. Of the 500MW secured following 2Q26, 360MW was from a facility the company [secured](#) in early August in Indonesia, marking the company's first expansion into the APAC market (expected to come online in 2028). The company noted that it also has >1.5GW of additional potential power through powered land accumulated by the company for self-builds, options to expand at existing sites, and executed letters of intent, bringing total secured and high-visibility contracted power to ~5.7GW, representing >70% of its 2030 active power target of at least 8GW.

### **Launches Managed Inference Service with Strong Early Growth**

In late 1Q26, CoreWeave launched its managed inference service, allowing customers to run models in production without independently managing the underlying GPU infrastructure. Its two principal consumption formats are serverless inference, where customers consume model output on demand and CoreWeave monetizes token volume, and dedicated deployments, where customers receive reserved inference infrastructure for their workloads. Early customer use cases include powering AI agents, and fine-tuning proprietary models and open-weight models. The service has scaled rapidly since its launch, with booked ARR increasing from ~\$1mn at quarter-end 1Q26 to more than \$100mn by quarter-end 2Q26. Management targets at least \$250mn of booked ARR by year-end 2026 and stated that growth is currently constrained by GPU availability rather than demand.

Strategically, managed inference moves CoreWeave beyond dedicated GPU leasing into a higher-margin, consumption-oriented platform model. It broadens the customer funnel by providing a less technically complicated option for enterprises and increases opportunities to cross-sell storage, CPU, networking, and software. It also provides an alternative monetization channel for older GPUs after their initial contracts expire, potentially extending asset lives and generating incremental returns after the associated debt has been repaid.

## **State of the US Compute Market**

The hyperscalers and AI model developers universally cite the compute market as highly capacity constrained, and all continue to work to add compute resources (noting that both Meta and Amazon stated they expect the market to remain constrained through at least 2027). Below, we provide recent commentary from each of the largest participants in the ecosystem and highlight the specific plans of SpaceX and Meta. SpaceX recently sold significant compute capacity externally, and Meta has discussed potentially doing the same. We outline our views on each further below, but at a high level, we view each of these as more of an indicator of the current extremely strong pricing environment for compute than a structural increase in competition for the neoclouds in the near term. Longer term, while we continue to expect hyperscalers to likely in-source compute capacity needs as internal buildouts progress, we view the supply environment as sufficiently constrained through the near to intermediate term to support further large neocloud contract wins, supporting CoreWeave as it works to scale and diversify its customer base, and move up the stack with value-add offerings.

## Quotes from Key Model Developers/Hyperscalers

- **OpenAI:** The company has [recently indicated](#) that it sees compute scarcity through at least 2027, with CFO Sarah Friar stating on April 2 that "we're making some very tough trades at the moment and things we're not pursuing because we don't have enough compute".
- **Anthropic:** Following [exponential growth](#) in Claude Code usage, Anthropic has faced compute infrastructure constraints, [stating](#) on April 24 that "Demand for Claude has grown at an unprecedented rate, and our infrastructure has been stretched to meet it, particularly at peak hours... we are doing everything we can to address this, and we are deeply grateful for our users' patience."
- **Amazon:** On Amazon's 2Q26 earnings call on July 30, CEO Andrew Jassey stated that "We will still do not have enough capacity to meet all the demand we have in 2026. And I believe this dynamic will also be true in 2027 too. In fact, the demand we already have for 2028 is striking. And remember, enterprises are still very early in using inference at scale in their current production applications."
- **Google:** Google has repeatedly highlighted compute supply constraints as a limiting factor to AI service growth. On July 22, CFO Anat Ashkenazi stated on the company's 2Q26 earnings call that "we're still in a supply-constrained environment. I think we've said this now for multiple quarters in a row. And we are seeing very strong demand, both from external cloud customers as well as across the business." Ashkenazi later went on to say "And now, as you think about Q3 and through the remainder of the year... given the supply-constrained environment we're in, we are planning to expand the use of third-party capacity in Q3 as a bridging strategy while we continue to build out internal capacity".
- **Microsoft:** On MSFT's 2Q26 earnings call on July 29, CFO Amy Hood stated that "we've continued to say for a number of quarters that demand continues to exceed available supply. And that certainly remains true. You can even see it in some of the pricing that's occurring in the spot market for assets... because of the supply/demand imbalance, we've been talking about, when we can make efficiency gains, they are quickly monetized in quarter."

## SpaceX Sells Compute Resources at a Sharp Premium

The mission statement of xAI, which is now consolidated as part of SpaceX (NASDAQ: SPCX), is to create a "maximally curious" artificial general intelligence capable of advancing scientific research and addressing other cutting-edge applications. In the shorter term, the company is developing its LLMs and deploying them through "Grok", its front-end chat-based AI service available through X and as a standalone app. Grok is differentiated through its relatively less filtered conversational style. To support its AI ambitions, xAI is engaged in a highly ambitious buildout plan: From 1.4GW currently, SPCX targets >2GW of energized compute at year-end 2026, and CEO Elon Musk indicated a year-end 2027 target of "closer to 10GW than 5GW." While that pace of build may be ambitious, even 1GW per quarter would quickly put xAI among the largest operators of compute capacity, well above what any neocloud operators (including CRWV, which we estimate will add a quarterly average of ~300MW active power in 2027).

While Grok has seen significant adoption with >100mn app downloads to date, and its frontier model, Grok 4.6, [indexes](#) highly against comps in intelligence (comparable to GPT 5.6), to date the company's adoption curve has been [materially less steep](#) than its main rivals, including OpenAI, Anthropic and Google. Accordingly, with its aggressive build underway and the market for compute still highly supply constrained, the company appears to have assessed that the ROI of renting out its compute capacity to third parties in the near term exceeds the ROI of using its compute for internal development, given the currently highly attractive economics:

On May 6, SpaceX and Anthropic [announced](#) an agreement under which Anthropic will rent 300MW of capacity from SpaceX's Colossus 1 data center for \$1.25bn/month (\$15bn/year) through May 2029, though both parties have the right to terminate the agreement with 90 days notice (supporting a mix of over 220k NVIDIA H100, H200, and GB200 GPUs). Then, on June 5, SpaceX agreed to rent ~210MW of capacity to Google at \$920mn/month (~\$11bn/year) through June 2029, also giving both parties the ability to terminate with 90 days notice (supporting 110k NVIDIA GB200 GPUs). The annual rates on the Anthropic and Google transactions are ~\$50mn/MW and ~\$53mn/MW, respectively, materially above our estimate for CRWV (at ~\$10mn/MW in 2026), and we believe well above standard market rates across neocloud comps, reflecting the now highly supply-constrained compute environment.

While we view SpaceX as a potential competitive threat to CoreWeave and the other neoclouds, these deals appear opportunistic, given the extremely strong pricing environment for active compute capacity. In our view, the willingness of Anthropic and Google to pay steep premiums for incremental capacity reflects extremely strong demand for compute resources as inference continues to ramp exponentially.

### **Meta, a Major CRWV Customer, Discusses Standing up Cloud Business**

Meta is engaged in a massive AI infrastructure buildout, originally to support its internal ambitions as a competitor in the universe of frontier model developers, with [reports](#) citing internal memos indicating that the company targets reaching 7GW of HPC data center capacity by year-end 2026 (adding 3.5GW during the year) and 14GW by year-end 2027. Amid investor [concerns](#) regarding Meta's very high capex to fund this buildout (\$140bn consensus in 2026; ~\$200bn annual consensus capex from 2027-29), [reports emerged](#) in early July that Meta is building a cloud business that would provide customers with access to models on Meta's infrastructure ("inference-as-a-service") or on a "bare metal" basis. For now, the inference-as-a-service offering would just include its own models; Meta did not say whether it plans to also serve third-party models.

The company confirmed these reports on its 2Q26 earnings call and provided further details about its plans, saying it sees as a large opportunity to serve enterprises among a broader universe of infrastructure applications. The company will take a portfolio approach to allocating its AI infrastructure, using compute resources for internal purposes, including frontier model training and optimizing social media engagement and monetization, as well as external use-cases in consumer (AI-powered consumer products including personal agents), enterprise (model APIs, business agents, productivity tools including agentic coding), and bare-metal compute rentals, which the company indicated it could pursue opportunistically given the currently very strong pricing environment.

CoreWeave has announced a total of \$35bn of deals with Meta (~one-third of its current backlog), the most recent of which was for ~\$21bn through December 2032, announced on April 9. Characterizing Meta's thoughts on allocating compute capacity, as well as the apparent tension between its large external compute purchases and discussion of selling compute on a bare-metal basis, CEO Mark Zuckerberg stated the following on Meta's 2Q call:

“[Regarding] how we think about offers that we're getting to sell the compute, but then we're also buying the compute... the high-level observation is that there's just nowhere near enough compute for all the demand. So that is why we are getting a large number of offers for

the compute that we have, but also we have a lot of internal uses that we think are going to be quite valuable... I think it would be foolish to basically just sell all of the compute and take a short-term profit, but when you have the opportunity to build intelligence on top of it, which will be a kind of a multiple and that compounds the value of the compute on top of that.”

— Meta CEO Mark Zuckerberg, 2Q26 Earnings Call, 7/29/26

Discussing its compute capacity planning, Meta emphasized that it expects the supply environment to remain constrained through 2027, and as it looks to 2028, it wants to position itself to maximize its flexibility to pursue each of the opportunities it outlined with sufficient capacity as the ecosystem continues to evolve. As it relates to CoreWeave, while we view Meta's strategy of potentially selling compute externally as a medium-term competitive consideration, it appears to us that Meta's preference through the near term is to deploy resources to build on its product offerings. In addition, the company appears focused on securing capacity quickly through 2026-27 and seemingly did not rule out further third-party capacity procurement.

## Chinese Open Weight Models Raise Concerns for US Model Developers

Following Chinese startup Moonshot AI's release of its open-weight "Kimi K3" model on July 16, which [indexes](#) closely in intelligence with leading US models, there have been significant concerns in the investing community regarding emerging competitive threats to US model developers from Chinese open-weight models. An open-weight model is an AI model whose trained parameters (the numerical "weights" encoding what it has learned) are accessible to users. This allows users to fine tune or customize the model, inspect its behavior more directly, control data and security, and run the model flexibly across infrastructure. A "closed weight" model keeps the parameters proprietary, as is the case in most US frontier models (eg, Anthropic, OpenAI, Google). Conversely, frontier models from all leading Chinese model labs (eg, Moonshot AI, DeepSeek, Alibaba, MiniMax) are open weight. The main competitive threat from such model labs is that they appear good enough to support most workloads at a much lower price than many closed-weight US models.

While the January 2025 "DeepSeek moment" called into question the need for the scale of AI hardware infrastructure investment being developed in the US (given DeepSeek was able to produce a competitive model with significantly less infrastructure than leading AI labs), we now know that DeepSeek and other Chinese developers have used large numbers of NVIDIA GPUs to train their models (in some cases [avoiding export restrictions](#) by training models in foreign clouds), and some of the intelligence gains by Chinese models are [likely a result](#) of distillation (a process where developers use competing models to train their own models). [Anthropic has alleged](#) that certain Chinese developers have used thousands of fraudulent Claude accounts to train their leading models. The read-through for US AI infrastructure providers from this dynamic is in some ways positive: a reduction in AI costs for end users could stimulate incremental demand for AI infrastructure. However, if Chinese developers combine distillation,

independent engineering, and open distribution to successfully take material market share from higher-cost US frontier models, it could (at least temporarily) hurt the overall US ecosystem, given OpenAI and Anthropic are the ultimate end-users for a significant portion of overall infrastructure.

## NVIDIA's \$500bn AI Infrastructure Financing Platform a Positive For Financing Compute Infrastructure

On August 10, NVIDIA announced that it signed a non-binding memorandum of understanding with six leading investment firms; Apollo, BlackRock, Blackstone, Brookfield, Goldman Sachs, and KKR to establish separate financing platforms intended to mobilize more than \$500bn of third-party capital over time for NVIDIA-powered AI infrastructure. NVIDIA's [role](#) in these financing platforms is that it "may provide a residual-value support mechanism for up to 25% of an opportunity, assessed carefully on a project-by-project basis." The purpose of the AI infrastructure platforms mainly appears to be to provide support for growth in the chip financing market (specifically for NVIDIA GPUs and supporting hardware), an area where CoreWeave has been a [trailblazer](#) in with its DDTL facilities. While the details and costs of the specific projects have yet to be determined, we view this announcement as weighted toward the positive side for CoreWeave as the company appears to be well positioned to receive partial residual backstops from NVIDIA, given the significant support CRWV has received from NVDA in the past, potentially reducing borrowing costs on future DDTL transactions. This is partly offset, in our view, by making the chip financing market more accessible for CRWV's competitors, which have significantly less experience bringing large chip deals to market.

## Financing Strategy/Outlook

As a result of higher active power and capex assumptions to support CRWV's growth, we have increased our estimates for financing requirements over the next several years. We now expect CRWV to require \$34.0bn of financing in 2027 (up from our prior \$29.5bn estimate) and \$99.7bn during 2027-2030, above our prior \$76.0bn estimate. Approximately 80% of this financing will be secured, mostly additional DDTL financing backed by GPU contracts. The company has been successful accessing this market (including a \$8.5bn IG-rated SPV financing backed by Meta contracts) and two syndicated DDTL loan financings (totaling \$5.7bn). However, the significant increase in supply and AI market volatility, has recently made these financings more challenging and costly. While we expect CRWV to come to market before year-end with an additional IG-rated SPV financing backed by the most recent \$21bn Meta contract (on a fairly cost-effective basis), for additional DDTL financing. Like some of its earlier DDTL financings, the company may again access the private credit market as a financing source. The company could also look to NVDA's \$500bn financing framework with six leading lenders for additional financing, although the structure/terms of such facilities are yet to be determined.

With respect to the ~20% of financing requirements outside GPU- or compute-backed contracts, with the senior notes yielding over 11%, it is unlikely CRWV will access the straight unsecured markets in the near term, and possibly over the intermediate term. As a result, it may shift its financing to convertible notes – it has issued \$6.6bn of convertibles in the past three quarters – and/or additional equity from customers/partners, following its previous equity investments of \$2bn from NVDA and \$1bn from Jane Street.

## DDTL 5.5 Issued, Second Broadly Syndicated Loan

On July 20, CoreWeave launched an offering for a \$2.6bn DDTL 5.5 due September 2031, with IPT of S+425-450 at \$99.0. This was its second broadly syndicated DDTL offering after its \$3.1bn

S+450 DDTL 5.0 transaction backed by contracts with OpenAI and Cohere. According to Moody's, the DDTL 5.5 facility is backed by a mix of contracts from Anthropic (~\$1.5bn, 5y tenor), Jane Street (~\$1.5bn, 1y and 2y tenors) and smaller contracts from Midjourney, Hudson River Trading, and Anysphere, which rent a combination of NVIDIA B200s, B300s, and GB300s (all part of the Blackwell generation of GPUs). According to Moody's, the loan-to-cost on the facility is ~70%, and contracts backing the facility have a weighted-average life of ~3.1y against the tenor on the facility of 5y, making DDTL 5.5 the first CoreWeave DDTL facility to include re-contracting risk. The facility is rated Ba2/Stable by Moody's and BB+/Positive by Fitch.

Reportedly [reflecting](#) investor concerns regarding the shorter contract tenors and other features, as well as being executed amid significant volatility in AI infrastructure credit more broadly, the transaction struggled to place initially before CoreWeave improved the terms/covenants, ultimately pricing the DDTL on July 30 at a wide S+550/\$97.0; post pricing, the loan has traded sharply higher to \$100.5. On CRWV's 2Q26 earnings call, CEO Michael Intrator stated that this transaction opens up the potential to sign more shorter-term contracts on which the company can extract additional margin, and which he stated are more attractive for enterprise customers (pointing toward 2-3y contracts as a potential cohort the company might sign more of, versus typical longer-term contracts, recently at ~5y).

## June \$3.5bn HY Note Issuance; Inaugural EUR Notes

On June 11, CoreWeave launched/priced \$3.5bn USD-equivalent secured notes due July 2032, including a \$1.25bn USD tranche at par to yield 9 5/8% and a €2.0bn tranche at par to yield 8 1/2% (both tight to initial talk of high 9% and high 8%, respectively).

## 2026-30 Estimates

### 2026E

Consistent with the increase in guidance provided by CRWV, including now modeling 1.85GW of active power at year-end versus 1.70GW previously, we increase our estimates across metrics. We estimate revenue of \$13.05bn, above our \$12.29bn prior estimate and toward the high-end of \$12.4-13.2bn guidance, up \$7.92bn y/y (+154%). We estimate adjusted operating income of \$1.13bn, above our \$1.00bn prior estimate, also toward the high end of guidance of \$960mn-\$1.15bn, up \$458mn y/y (+68.5%) at an 8.6% margin, modestly above our 8.2% prior estimate down 440bp y/y. We now estimate adjusted EBITDA of \$7.80bn, above our \$7.43bn prior estimate, up \$4.71bn y/y (+152%) at a 59.8% margin, modestly below our 60.5% prior estimate, down 50bp y/y. We model a FCF usage of \$30.6bn, above our \$27.5bn prior usage estimate, mainly reflecting higher estimated capex of \$37.99bn, above our \$34.35bn prior estimate, in-line with guidance of \$35-39bn. We estimate net debt of \$48.80bn at year-end, up \$31.31bn y/y as total debt increases \$32.12bn y/y to \$53.74bn and cash increases \$811mn y/y to \$4.94bn.

### 2027-2030E

In the out-years, we increase our revenue, adjusted EBITDA, capex, and FCF usage estimates, reflecting increased active power addition estimates in each year (an average of ~300MW higher annually versus our prior estimates). We now estimate 6.97GW of active power at year-end 2030 versus 5.70GW previously (still ~1.0GW below the company's 8.0GW target, reflecting more conservative ramp assumptions). While we modestly reduce our adjusted EBITDA margin estimate in 2027 to reflect a faster ramp in active capacity, we modestly increase our margin estimates in 2029-30, reflecting greater benefits from scale. To fund \$82.1bn of FCF usage from 2027-30, as well as \$20.6bn of amortization and maturities, we estimate the company will require \$99.7bn of funding during 2027-30, above our \$76.0bn prior estimate. We now estimate net leverage of 2.5x in 2030, 0.1 turn above our prior estimate.

FIGURE 6. Summary Change in Estimates

| Summary Change in Estimates | 2026E    | 2026E    | 2027E    | 2027E    | 2030E   | 2030E   |
|-----------------------------|----------|----------|----------|----------|---------|---------|
| (\$mn)                      | Prior    | Current  | Prior    | Current  | Prior   | Current |
| Active Power (MW)           | 1,700    | 1,850    | 2,700    | 3,030    | 5,700   | 6,970   |
| Revenue                     | 12,289   | 13,048   | 25,660   | 28,265   | 62,130  | 77,088  |
| % y/y                       | 139.5%   | 154.3%   | 108.8%   | 116.6%   | 22.1%   | 26.2%   |
| Adjusted EBITDA             | 7,430    | 7,804    | 16,740   | 18,223   | 41,199  | 51,677  |
| % margin                    | 60.5%    | 59.8%    | 65.2%    | 64.5%    | 66.3%   | 67.0%   |
| Adjusted Operating Income   | 1,002    | 1,126    | 5,540    | 5,598    | 14,231  | 18,254  |
| % margin                    | 8.2%     | 8.6%     | 21.6%    | 19.8%    | 22.9%   | 23.7%   |
| Capex                       | 34,345   | 37,992   | 3,800    | 47,200   | 38,000  | 51,200  |
| Free Cash Flow              | (27,499) | (30,604) | (25,004) | (31,904) | (3,665) | (4,750) |
| Net Debt                    | 42,771   | 48,797   | 67,812   | 80,726   | 99,199  | 130,683 |
| Total Leverage              | 6.0x     | 6.9x     | 4.2x     | 4.5x     | 2.5x    | 2.6x    |
| Net Leverage                | 5.8x     | 6.3x     | 4.1x     | 4.4x     | 2.4x    | 2.5x    |

Source: Barclays Research

FIGURE 7. Enterprise Value

| (\$ mn)                       | 2026E    | 2030E   |
|-------------------------------|----------|---------|
| <b>Financial Performance</b>  |          |         |
| Revenues                      | 13,048   | 77,088  |
| Adj. EBITDA                   | 7,804    | 51,677  |
| % margin                      | 59.8%    | 67.0%   |
| FCF                           | (30,604) | (4,750) |
| <b>Balance Sheet</b>          |          |         |
| Cash and Equivalents          | 4,941    | 2,000   |
| Total Debt                    | 53,739   | 132,683 |
| Net Debt                      | 48,797   | 130,683 |
| <b>Equity</b>                 |          |         |
| Shares O/S                    | 559      | 559     |
| Share Price (as of 08/18/26)  | \$97.09  | \$97.09 |
| Equity Market Cap             | 54,261   | 54,261  |
| Total Market Cap              | 107,999  | 186,944 |
| <b>Valuation</b>              |          |         |
| Enterprise Value              | 103,058  | 184,944 |
| EV / Revenues                 | 7.9x     | 2.4x    |
| EV / EBIT                     | 91.5x    | 10.1x   |
| EV/ EBITDA                    | 13.2x    | 3.6x    |
| Total Market Cap / Total Debt | 2.0x     | 1.4x    |

Source: Bloomberg, Barclays Research

FIGURE 8. Financial Model

| Financial Model (1)                    | 1Q25    | 2Q25    | 3Q25    | 4Q25     | 1Q26    | 2Q26    | 3Q26E   | 4Q26E    | LTM     | 2025     | 2026E    | 2027E    | 2028E    | 2029E    | 2030E    |
|----------------------------------------|---------|---------|---------|----------|---------|---------|---------|----------|---------|----------|----------|----------|----------|----------|----------|
| (\$mn)                                 | 3/31/25 | 6/30/25 | 9/30/25 | 12/31/25 | 3/31/26 | 6/30/26 | 9/30/26 | 12/31/26 | 6/30/26 | 12/31/25 | 12/31/26 | 12/31/27 | 12/31/28 | 12/31/29 | 12/31/30 |
| Total Active Power (MW)                | 420     | 470     | 590     | 850      | 1,025   | 1,500   | 1,675   | 1,850    | 1,500   | 850      | 1,850    | 3,030    | 4,310    | 5,690    | 6,970    |
| Seq Change (MW)                        | 66      | 50      | 120     | 260      | 175     | 475     | 175     | 175      | 1,030   | 496      | 1,000    | 1,180    | 1,280    | 1,380    | 1,280    |
| % y/y                                  | 304.0%  | 147.4%  | 124.4%  | 140.1%   | 144.1%  | 219.2%  | 183.9%  | 117.6%   |         | 140.1%   | 117.6%   | 63.8%    | 42.2%    | 32.0%    | 22.5%    |
| % q/q                                  | 18.6%   | 11.9%   | 25.5%   | 44.1%    | 20.6%   | 46.3%   | 11.7%   | 10.4%    |         |          |          |          |          |          |          |
| Revenue/Average Active MW (Annualized) | 10.1    | 10.9    | 10.3    | 8.7      | 8.9     | 8.2     | 9.0     | 10.9     |         | 8.5      | 9.7      | 11.6     | 12.0     | 12.2     | 12.2     |
| % y/y                                  | 15.6%   | 1.3%    | -0.1%   | -9.9%    | -12.6%  | -25.2%  | -12.4%  | 25.1%    |         | -6.1%    | 13.4%    | 19.9%    | 3.7%     | 1.8%     | -0.3%    |
| Revenue                                | 982     | 1,213   | 1,365   | 1,572    | 2,078   | 2,575   | 3,581   | 4,814    | 7,590   | 5,131    | 13,048   | 28,265   | 44,071   | 61,101   | 77,088   |
| % y/y                                  | 420.3%  | 206.7%  | 133.7%  | 110.3%   | 111.7%  | 112.3%  | 162.4%  | 206.2%   |         | 167.9%   | 154.3%   | 116.6%   | 55.9%    | 38.6%    | 26.2%    |
| % q/q                                  | 31.3%   | 23.5%   | 12.5%   | 15.2%    | 32.2%   | 23.9%   | 39.1%   | 34.4%    |         |          |          |          |          |          |          |
| Lease Expense                          | 199     | 238     | 272     | 368      | 520     | 650     | 855     | 946      | 1,810   | 1,077    | 2,971    | 5,390    | 8,350    | 11,717   | 15,279   |
| % of revenue                           | 20.3%   | 19.6%   | 19.9%   | 23.4%    | 25.0%   | 25.2%   | 23.9%   | 19.7%    | 23.8%   | 21.0%    | 22.8%    | 19.1%    | 18.9%    | 19.2%    | 19.8%    |
| % y/y                                  | 425.2%  | 212.3%  | 120.2%  | 129.4%   | 161.3%  | 172.8%  | 214.5%  | 157.0%   |         | 170.6%   | 175.8%   | 81.4%    | 54.9%    | 40.3%    | 30.4%    |
| Other Adjusted COGS                    | 46      | 49      | 68      | 102      | 141     | 164     | 236     | 433      | 475     | 266      | 975      | 2,544    | 4,077    | 5,805    | 7,323    |
| % of revenue                           | 4.7%    | 4.1%    | 5.0%    | 6.5%     | 6.8%    | 6.4%    | 6.6%    | 9.0%     | 6.3%    | 5.2%     | 7.5%     | 9.0%     | 9.3%     | 9.5%     | 9.5%     |
| % y/y                                  | 138.9%  | 70.2%   | 475.1%  | 872.1%   | 205.0%  | 234.0%  | 246.3%  | 324.9%   |         | 276.2%   | 267.0%   | 160.9%   | 60.3%    | 42.4%    | 26.2%    |
| Adjusted Gross Profit                  | 736     | 925     | 1,025   | 1,102    | 1,417   | 1,761   | 2,490   | 3,434    | 5,304   | 3,788    | 9,102    | 20,331   | 31,645   | 43,580   | 54,486   |
| % margin                               | 75.0%   | 76.3%   | 75.1%   | 70.1%    | 68.2%   | 68.4%   | 69.5%   | 71.3%    | 69.9%   | 73.8%    | 69.8%    | 71.9%    | 71.8%    | 71.3%    | 70.7%    |
| % y/y                                  | 460.3%  | 218.9%  | 128.4%  | 91.1%    | 92.4%   | 90.3%   | 143.0%  | 211.6%   |         | 161.8%   | 140.3%   | 123.4%   | 55.6%    | 37.7%    | 25.0%    |
| Technology and Infrastructure          | 78      | 85      | 90      | 96       | 118     | 110     | 151     | 231      | 414     | 349      | 610      | 976      | 1,132    | 1,212    | 1,284    |
| % of revenue                           | 7.9%    | 7.0%    | 6.6%    | 6.1%     | 5.7%    | 4.3%    | 4.2%    | 4.8%     | 5.5%    | 6.8%     | 4.7%     | 3.5%     | 2.6%     | 2.0%     | 1.7%     |
| % y/y                                  | 517.3%  | 334.0%  | 142.8%  | 134.2%   | 51.7%   | 28.7%   | 68.5%   | 140.0%   |         | 216.4%   | 74.8%    | 60.0%    | 16.0%    | 7.0%     | 6.0%     |
| Sales & Marketing                      | 8       | 28      | 35      | 42       | 56      | 48      | 66      | 101      | 181     | 113      | 271      | 461      | 558      | 614      | 651      |
| % of revenue                           | 0.8%    | 2.3%    | 2.6%    | 2.7%     | 2.7%    | 1.9%    | 1.8%    | 2.1%     | 2.4%    | 2.2%     | 2.1%     | 1.6%     | 1.3%     | 1.0%     | 0.8%     |
| % y/y                                  | 142.9%  | 751.4%  | 839.8%  | 783.7%   | 624.5%  | 69.6%   | 90.0%   | 140.0%   |         | 654.3%   | 140.1%   | 70.0%    | 21.0%    | 10.0%    | 6.0%     |
| General & Administrative               | 51      | 88      | 73      | 75       | 87      | 94      | 110     | 128      | 330     | 288      | 419      | 671      | 778      | 833      | 875      |
| % of revenue                           | 5.2%    | 7.3%    | 5.4%    | 4.8%     | 4.2%    | 3.7%    | 3.1%    | 2.7%     | 4.3%    | 5.6%     | 3.2%     | 2.4%     | 1.8%     | 1.4%     | 1.1%     |
| % y/y                                  | 358.2%  | 407.0%  | 150.6%  | 71.4%    | 70.9%   | 6.7%    | 50.0%   | 70.0%    |         | 182.8%   | 45.7%    | 60.0%    | 16.0%    | 7.0%     | 5.0%     |
| Total Operating Expense                | 136     | 202     | 198     | 214      | 261     | 252     | 327     | 461      | 925     | 750      | 1,301    | 2,108    | 2,469    | 2,658    | 2,809    |
| % of revenue                           | 13.9%   | 16.6%   | 14.5%   | 13.6%    | 12.6%   | 9.8%    | 9.1%    | 9.6%     | 12.2%   | 14.6%    | 10.0%    | 7.5%     | 5.6%     | 4.4%     | 3.6%     |
| % y/y                                  | 407.3%  | 399.9%  | 183.0%  | 137.9%   | 91.3%   | 24.9%   | 65.4%   | 115.3%   |         | 230.2%   | 73.5%    | 62.1%    | 17.1%    | 7.7%     | 5.7%     |
| Add-backs                              | 6       | 29      | 11      | 10       | 1       | 1       |         |          | 23      | 57       | 2        |          |          |          |          |
| Adjusted EBITDA                        | 606     | 753     | 838     | 898      | 1,157   | 1,510   | 2,163   | 2,974    | 4,403   | 3,095    | 7,804    | 18,223   | 29,176   | 40,921   | 51,677   |
| % margin                               | 61.7%   | 62.1%   | 61.4%   | 57.1%    | 55.7%   | 58.6%   | 60.4%   | 61.8%    | 58.0%   | 60.3%    | 59.8%    | 64.5%    | 66.2%    | 67.0%    | 67.0%    |
| % y/y                                  | 477.1%  | 201.2%  | 121.1%  | 84.8%    | 90.9%   | 100.5%  | 158.1%  | 231.2%   |         |          |          |          |          |          |          |
| Less: Depreciation & Amortization      | 443     | 559     | 630     | 821      | 1,147   | 1,393   | 1,927   | 2,253    | 3,991   | 2,454    | 6,720    | 12,625   | 20,122   | 27,022   | 33,422   |
| Plus: Other Add-backs                  | 0       | 6       | 9       | 11       | 11      | 11      | 10      | 10       | 42      | 27       | 42       |          |          |          |          |

| Financial Model (1)                        | 1Q25    | 2Q25    | 3Q25    | 4Q25     | 1Q26    | 2Q26    | 3Q26E   | 4Q26E    | LTM     | 2025     | 2026E    | 2027E    | 2028E    | 2029E    | 2030E    |
|--------------------------------------------|---------|---------|---------|----------|---------|---------|---------|----------|---------|----------|----------|----------|----------|----------|----------|
| (\$mn)                                     | 3/31/25 | 6/30/25 | 9/30/25 | 12/31/25 | 3/31/26 | 6/30/26 | 9/30/26 | 12/31/26 | 6/30/26 | 12/31/25 | 12/31/26 | 12/31/27 | 12/31/28 | 12/31/29 | 12/31/30 |
| Adjusted Operating Income                  | 163     | 200     | 217     | 88       | 21      | 128     | 246     | 731      | 454     | 668      | 1,126    | 5,598    | 9,054    | 13,899   | 18,254   |
| % margin                                   | 16.6%   | 16.5%   | 15.9%   | 5.6%     | 1.0%    | 5.0%    | 6.9%    | 15.2%    | 6.0%    | 13.0%    | 8.6%     | 19.8%    | 20.5%    | 22.7%    | 23.7%    |
| Cash Interest (Incl. Capitalized Interest) | 142     | 219     | 196     | 312      | 364     | 442     | 922     | 1,033    | 1,313   | 869      | 2,761    | 4,469    | 6,332    | 7,935    | 8,727    |
| Capex (Company-Defined)                    | 1,858   | 2,937   | 1,850   | 8,241    | 6,786   | 9,353   | 13,125  | 8,750    | 26,230  | 14,886   | 38,014   | 47,200   | 51,200   | 55,200   | 51,200   |
| Capex (Cash Flow Statement)                | 1,206   | 1,764   | 3,279   | 4,060    | 7,695   | 6,422   | 14,125  | 9,750    | 21,456  | 10,309   | 37,992   | 47,200   | 51,200   | 55,200   | 51,200   |

Note: Our model is on a cash basis, excluding depreciation and amortization which is largely included in "Technology and Infrastructure" opex.

Source: Company filings, Barclays Research

FIGURE 9. Net Debt and Credit Stats

| Net Debt & Credit Stats     | 1Q25    | 2Q25    | 3Q25    | 4Q25     | 1Q26    | 2Q26    | 3Q26E   | 4Q26E    | LTM     | 2025     | 2026E    | 2027E    | 2028E    | 2029E    | 2030E    |
|-----------------------------|---------|---------|---------|----------|---------|---------|---------|----------|---------|----------|----------|----------|----------|----------|----------|
| (\$mn)                      | 3/31/25 | 6/30/25 | 9/30/25 | 12/31/25 | 3/31/26 | 6/30/26 | 9/30/26 | 12/31/26 | 6/30/26 | 12/31/25 | 12/31/26 | 12/31/27 | 12/31/28 | 12/31/29 | 12/31/30 |
| Cash & equivalents          | 1,276   | 1,153   | 1,894   | 3,127    | 2,244   | 5,524   |         |          | 5,524   |          |          |          |          |          |          |
| Restricted cash             | 1,241   | 901     | 1,074   | 1,003    | 1,076   | 1,380   |         |          | 1,380   |          |          |          |          |          |          |
| Cash & Restricted cash      | 2,518   | 2,054   | 2,969   | 4,130    | 3,320   | 6,904   | 6,275   | 4,941    | 6,904   | 4,130    | 4,941    | 2,000    | 2,000    | 2,000    | 2,000    |
| Total Debt (Reported)       | 8,712   | 11,052  | 14,035  | 21,373   | 24,859  | 35,068  |         |          | 35,068  |          |          |          |          |          |          |
| Total Debt (Face)           | 8,808   | 11,171  | 14,205  | 21,615   | 25,149  | 35,551  | 47,553  | 53,739   | 35,551  | 21,615   | 53,739   | 82,726   | 108,878  | 127,933  | 132,683  |
| Net Debt                    | 6,290   | 9,118   | 11,237  | 17,485   | 21,829  | 28,647  | 41,277  | 48,797   | 28,647  | 17,485   | 48,797   | 80,726   | 106,878  | 125,933  | 130,683  |
| \$ change                   | 322     | 2,828   | 2,119   | 6,248    | 4,344   | 6,818   | 12,630  | 7,520    |         | 11,517   | 31,312   | 31,928   | 26,153   | 19,055   | 4,750    |
| EBITDA / Interest           |         |         |         |          |         |         |         |          | 3.4x    | 3.6x     | 2.8x     | 4.1x     | 4.6x     | 5.2x     | 5.9x     |
| (EBITDA - Capex) / Interest |         |         |         |          |         |         |         |          |         | -8.3x    | -10.9x   | -6.5x    | -3.5x    | -1.8x    | 0.1x     |
| LTM EBITDA                  | 1,721   | 2,224   | 2,683   | 3,095    | 3,646   | 4,403   | 5,728   | 7,804    | 4,403   | 3,095    | 7,804    | 18,223   | 29,176   | 40,921   | 51,677   |
| Secured Leverage            | 5.0x    | 4.0x    | 3.8x    | 4.8x     | 5.0x    | 4.3x    | 5.3x    | 4.7x     | 4.3x    | 4.8x     | 4.7x     | 3.2x     | 2.7x     | 2.3x     | 1.9x     |
| Total Leverage              | 5.1x    | 5.0x    | 5.3x    | 7.0x     | 6.9x    | 8.1x    | 8.3x    | 6.9x     | 8.1x    | 7.0x     | 6.9x     | 4.5x     | 3.7x     | 3.1x     | 2.6x     |
| Net Leverage                | 3.7x    | 4.1x    | 4.2x    | 5.6x     | 6.0x    | 6.5x    | 7.2x    | 6.3x     | 6.5x    | 5.6x     | 6.3x     | 4.4x     | 3.7x     | 3.1x     | 2.5x     |

Source: Company filings, Barclays Research

FIGURE 10. Cash Flows

| Cash Flows                             | 1Q25    | 2Q25    | 3Q25    | 4Q25     | 1Q26    | 2Q26    | 3Q26E    | 4Q26E    | LTM      | 2025     | 2026E    | 2027E    | 2028E    | 2029E    | 2030E    |
|----------------------------------------|---------|---------|---------|----------|---------|---------|----------|----------|----------|----------|----------|----------|----------|----------|----------|
| (\$mn)                                 | 3/31/25 | 6/30/25 | 9/30/25 | 12/31/25 | 3/31/26 | 6/30/26 | 9/30/26  | 12/31/26 | 6/30/26  | 12/31/25 | 12/31/26 | 12/31/27 | 12/31/28 | 12/31/29 | 12/31/30 |
| Adjusted EBITDA                        | 606     | 753     | 838     | 898      | 1,157   | 1,510   | 2,163    | 2,974    | 4,403    | 3,095    | 7,804    | 18,223   | 29,176   | 40,921   | 51,677   |
| Cash interest                          | (142)   | (219)   | (196)   | (312)    | (364)   | (442)   | (922)    | (1,033)  | (1,313)  | (869)    | (2,761)  | (4,469)  | (6,332)  | (7,935)  | (8,727)  |
| Cash capex                             | (1,206) | (1,764) | (3,279) | (4,060)  | (7,695) | (6,422) | (14,125) | (9,750)  | (21,456) | (10,309) | (37,992) | (47,200) | (51,200) | (55,200) | (51,200) |
| Cash taxes                             |         |         |         |          |         |         |          |          |          |          |          |          |          |          |          |
| Non-cash lease expense                 | 67      | 77      | 90      | 123      | 167     | 198     | 254      | 289      | 578      | 357      | 908      | 1,542    | 2,231    | 2,907    | 3,501    |
| Working capital/other operating        | (470)   | (862)   | 957     | 850      | 2,024   | (587)   |          |          | 3,244    | 475      | 1,437    |          |          |          |          |
| Free cash flow                         | (1,145) | (2,015) | (1,590) | (2,501)  | (4,711) | (5,743) | (12,630) | (7,520)  | (14,545) | (7,251)  | (30,604) | (31,904) | (26,126) | (19,306) | (4,750)  |
| Acquisitions                           |         | (46)    | (10)    |          |         |         |          |          | (10)     | (56)     |          |          |          |          |          |
| Issuance of notes receivable           | (55)    | (18)    | 0       |          |         |         |          |          | 0        | (73)     |          |          |          |          |          |
| Investments related to joint ventures  |         |         |         |          |         | (550)   |          |          |          |          | (550)    |          |          |          |          |
| Purchase of strategic investments      |         |         |         |          |         | (138)   |          |          |          |          | (138)    |          |          |          |          |
| Other investing                        | 29      | (126)   | (71)    | 131      | (13)    | (56)    |          |          | (9)      | (37)     | (69)     |          |          |          |          |
| Equity issuance                        | 1,423   |         | 0       |          | 1,985   | 997     |          |          | 2,982    | 1,423    | 2,982    |          |          |          |          |
| Other financing                        | (83)    | (316)   | (30)    | (364)    | (26)    | (499)   |          |          | (919)    | (792)    | (525)    |          |          |          |          |
| Cash flow available for debt reduction | 169     | (2,521) | (1,701) | (2,734)  | (2,765) | (5,989) | (12,630) | (7,520)  | (13,189) | (6,787)  | (28,904) | (31,904) | (26,126) | (19,306) | (4,750)  |
| Amortization and maturities            |         |         |         |          |         |         |          |          |          |          |          | (5,060)  | (5,276)  | (4,584)  | (5,658)  |
| Incremental debt issuance              |         |         |         |          |         |         |          |          |          |          |          | 34,023   | 31,402   | 23,890   | 10,408   |
| Net change in debt                     | 313     | 1,856   | 2,616   | 3,892    | 1,955   | 9,573   | 12,002   | 6,186    | 18,036   | 8,677    | 29,716   | 28,963   | 26,126   | 19,306   | 4,750    |
| Excess cash (use of cash)              | 482     | (665)   | 915     | 1,158    | (810)   | 3,584   | (629)    | (1,334)  | 4,847    | 1,890    | 811      | (2,941)  | 0        | 0        | 0        |
| Cash and restricted cash               | 2,518   | 2,054   | 2,969   | 4,130    | 3,320   | 6,904   | 6,275    | 4,941    | 6,904    | 4,130    | 4,941    | 2,000    | 2,000    | 2,000    | 2,000    |
| Availability under RCF and DDTLs       | 4,103   | 3,685   | 4,800   | 3,700    | 8,825   | 10,014  | 3,167    | 912      | 10,014   | 3,700    | 912      | 912      | 912      | 912      | 912      |
| Total liquidity                        | 6,621   | 5,739   | 7,769   | 7,830    | 12,145  | 16,918  | 9,442    | 5,853    | 16,918   | 7,830    | 5,853    | 2,912    | 2,912    | 2,912    | 2,912    |

Source: Company filings, Barclays Research

FIGURE 11. Debt Structure

| Debt Structure                                 | 1Q25    | 2Q25    | 3Q25    | 4Q25     | 1Q26    | 2Q26    | 3Q26E   | 4Q26E    | LTM     | 2025     | 2026E    | 2027E    | 2028E    | 2029E    | 2030E    |
|------------------------------------------------|---------|---------|---------|----------|---------|---------|---------|----------|---------|----------|----------|----------|----------|----------|----------|
| (\$mn)                                         | 3/31/25 | 6/30/25 | 9/30/25 | 12/31/25 | 3/31/26 | 6/30/26 | 9/30/26 | 12/31/26 | 6/30/26 | 12/31/25 | 12/31/26 | 12/31/27 | 12/31/28 | 12/31/29 | 12/31/30 |
| S+175 \$2.0bn Revolver due 11/2029             | 50      | 450     | 700     | 1,000    | 1,500   | 0       | 1,200   | 1,200    | 0       | 1,000    | 1,200    | 1,200    | 1,200    | 1,200    | 1,200    |
| S+962 \$2.3bn DDTL-1 due 3/2028                | 1,898   | 1,783   | 1,668   | 1,553    | 1,438   | 1,300   | 1,185   | 1,070    | 1,300   | 1,553    | 1,070    | 610      |          |          |          |
| S+600-1,300 \$5.0bn DDTL-2 due 2030            | 4,386   | 4,954   | 5,037   | 5,037    | 4,425   | 3,190   | 2,892   | 2,594    | 3,190   | 5,037    | 2,594    | 1,694    | 794      |          |          |
| S+425 \$3.0bn DDTL-2.1 due 2030                |         |         | 1,241   | 2,741    | 3,000   | 3,000   | 2,838   | 2,675    | 3,000   | 2,741    | 2,675    | 2,025    | 1,375    | 725      |          |
| S+400 \$2.6bn DDTL-3 due 7/2030                |         |         | 359     | 340      | 1,700   | 2,215   | 2,600   | 2,456    | 2,215   | 340      | 2,456    | 1,878    | 1,300    | 722      |          |
| S+225/5.9% \$8.5bn DDTL-4 due 3/2032           |         |         |         |          | 1,260   | 2,837   | 7,500   | 8,500    | 2,837   |          | 8,500    | 7,272    | 6,044    | 4,816    | 3,588    |
| S+450 \$3.1bn DDTL-5 due 5/2032                |         |         |         |          |         | 1,101   | 3,100   | 3,100    | 1,101   |          | 3,100    | 2,376    | 1,586    | 772      | 309      |
| S+550 \$2.6bn DDTL-5.5 due 9/2031              |         |         |         |          |         |         | 1,200   | 2,600    | 0       |          | 2,600    | 2,080    | 1,560    | 1,040    | 520      |
| OEM financing arrangements                     | 1,225   | 1,728   | 1,186   | 4,165    | 5,036   | 5,102   | 5,102   | 5,102    | 5,102   | 4,165    | 5,102    | 5,102    | 5,102    | 5,102    | 5,102    |
| Other Secured Financing                        |         |         |         |          |         |         | 2,500   | 7,000    |         |          | 7,000    | 34,218   | 59,340   | 78,452   | 86,778   |
| Total Secured Debt                             | 8,559   | 8,915   | 10,191  | 14,836   | 18,359  | 18,745  | 30,117  | 36,297   | 18,745  | 14,836   | 36,297   | 58,455   | 78,300   | 92,829   | 97,497   |
| 12% PIK Magnetar loan due 1/2029               | 249     | 257     | 265     | 273      | 281     | 189     | 195     | 201      | 189     | 273      | 201      | 225      | 252      |          |          |
| 9 1/4% Unsecured notes due 6/2030              |         | 2,000   | 2,000   | 2,000    | 2,000   | 2,000   | 2,000   | 2,000    | 2,000   | 2,000    | 2,000    | 2,000    | 2,000    | 2,000    |          |
| 9% Unsecured notes due 2/2031                  |         |         | 1,750   | 1,750    | 1,750   | 1,750   | 1,750   | 1,750    | 1,750   | 1,750    | 1,750    | 1,750    | 1,750    | 1,750    | 1,750    |
| 9 3/4% Unsecured notes due 10/2031             |         |         |         |          |         | 2,750   | 2,750   | 2,750    | 2,750   |          | 2,750    | 2,750    | 2,750    | 2,750    | 2,750    |
| 9 5/8% Unsecured notes due 7/2032              |         |         |         |          |         | 1,250   | 1,250   | 1,250    | 1,250   |          | 1,250    | 1,250    | 1,250    | 1,250    | 1,250    |
| 8 1/2% EUR Unsecured notes due 7/2032          |         |         |         |          |         | 2,279   | 2,279   | 2,279    | 2,279   |          | 2,279    | 2,279    | 2,279    | 2,279    | 2,279    |
| 1 3/4% Convertible Unsecured notes due 12/2031 |         |         |         | 2,588    | 2,588   | 2,588   | 2,588   | 2,588    | 2,588   | 2,588    | 2,588    | 2,588    | 2,588    | 2,588    | 2,588    |
| 1 3/4% Convertible Unsecured notes due 10/2032 |         |         |         |          |         | 4,000   | 4,000   | 4,000    | 4,000   |          | 4,000    | 4,000    | 4,000    | 4,000    | 4,000    |
| Other Unsecured/Converts                       |         |         |         | 168      | 171     |         | 625     | 625      | 0       |          | 625      | 7,430    | 13,710   | 18,488   | 20,570   |
| Total Debt                                     | 8,808   | 11,171  | 14,205  | 21,615   | 25,149  | 35,551  | 47,553  | 53,739   | 35,551  | 21,447   | 53,739   | 82,726   | 108,878  | 127,933  | 132,683  |

Source: Company filings, Barclays Research

Summary of Ratings

Bloomberg U.S. High Yield 2% Issuer Capped Credit Index

|                     | Old        | New               |
|---------------------|------------|-------------------|
| U.S. HY Technology  | Overweight | Overweight        |
| CRWV 9 02/01/31     | Overweight | Overweight        |
| CRWV 9 1/4 06/01/30 | Overweight | Overweight        |
| CRWV 9 3/4 10/01/31 | Overweight | Overweight        |
| CRWV 9 5/8 07/15/32 |            | <b>Overweight</b> |

Source: Barclays Research

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**Primary Issuers/Bonds**

**COREWEAVE INC**, CD/CE/D/FA/J/L

CRWV 9 02/01/31, Overweight (USD 90.75, 10-Aug-2026)

CRWV 9 1/4 06/01/30, Overweight (USD 93.63, 10-Aug-2026)

CRWV 9 3/4 10/01/31, Overweight (USD 90.75, 10-Aug-2026)

CRWV 9 5/8 07/15/32, Overweight (USD 90.50, 17-Aug-2026)

**Valuation Methodology:** Noting longer-term uncertainty on how AI evolves, we like the company's strong revenue prospects, position as leading neocloud and attractive yield on the notes.

**Risks that May Impede Achievement of the Rating:** The company executes poorly or faces longer-term challenges renewing sustaining revenue growth.

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